

For both the promoter and the bondholder, the preferred outcome would be the shares quoting at a premium to the conversion price when the FCCBs matured. The FCCB holder would convert the bonds into shares, and sell them in the open market and make a profit.

While going in for the FCCBs, almost all promoters assumed that the debt would not have to be repaid as the stock price would be higher than the conversion price. Also, they thought the rupee would continue to strengthen against the dollar.

Prior to announcing an FCCB issue, many promoters would join hands with market operators and jack up the stock price. This was to ensure a high conversion price (since it was at a 15-20 per cent premium to the prevailing market price at the time of the FCCB issue) and improve sentiment for the stock.

It is hard to believe that the fund managers subscribing to the FCCB issues were not aware of what the promoters were up to. Strangely, no tough questions about the companies' business models or stock valuations were asked.

But the business fundamentals of many companies and the true nature of their promoters were exposed as a result of the meltdown of 2008. And the stock prices never really recovered from the bruising sell-off. Despite the market rallying in 2009 and 2010, the stock prices of these companies were unlikely to be anywhere near the conversion price at the time of the bonds maturing.

For the first time, promoters had to think about repaying the FCCB holders as the bonds were unlikely to be converted into equity. So confident were the promoters that the bonds would never have to be repaid that they did not think of making any provision for such an eventuality. By then, earnings had begun to come under pressure for a variety of reasons like high input costs and weakening demand. In quite a few cases, the companies did not have credible revenues or genuine cash flows to begin with. They were only good at inflating their stock prices by colluding with market operators. But that business model was broken. Companies would now have to refinance the FCCBs if they were to avert a default. In simple terms, they had to raise fresh money to pay off the existing debtors. Raising equity capital was out of the question, considering the battered stock prices; promoters would have to dilute much more of their stake than what they would have liked to.